



Weekly Market Note
September 4th, 2026

Economic Data & Markets Summary

Index	Asset Class	MTD	YTD
MSCI World	Equity	2.60%	13.13%
MSCI Asia Pacific	Equity	3.08%	19.22%
MSCI Europe	Equity	1.44%	11.53%
MSCI China	Equity	-0.34%	-7.56%
Bloomberg Barclays Global Aggregate Index	Fixed Income	0.45%	-0.27%
Bloomberg Commodities Index	Commodities	7.06%	27.53%
HFRX Global	Hedge Fund	0.76%	4.37%
HFRX Macro/CTA	Hedge Fund	1.58%	5.68%
HFRX Equity Hedge	Hedge Fund	1.38%	7.76%

*Index data as of August 31, 2026

Global Markets & Economic Data:

Any relief from inflationary pressures and rate hike risks is being welcomed by the market as a sign to TAKE MORE RISK!

US: Warsh's Jackson Hole speech was considered hawkish. ISM Services PMI rose to 55.4 in August, ahead of forecasts.

Switzerland/UK/Europe: Swiss consumer prices were up more than expected, rising at the fastest pace since August 2024. Also, last month the Swiss KOF Economic Barometer index marked its strongest reading since November 2021. BoE July meeting minutes revealed three policymakers voting for a 25bps increase in rates signaling the bank is ready to tighten if inflation remains persistent. Eurozone inflation hit its highest level since Sep. 2023, hitting 3.3% annualized in August.

Japan/China: Japanese Consumer Confidence reached its highest level since February. Chinese Manufacturing PMI rose more than expected in August driven by new orders, which has now risen for 18 consecutive months, the longest period of growth since 2018.

Brutal back-half

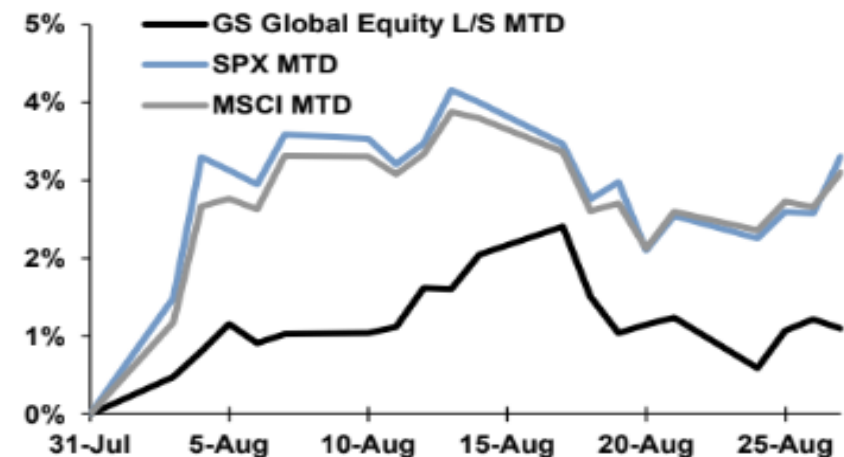
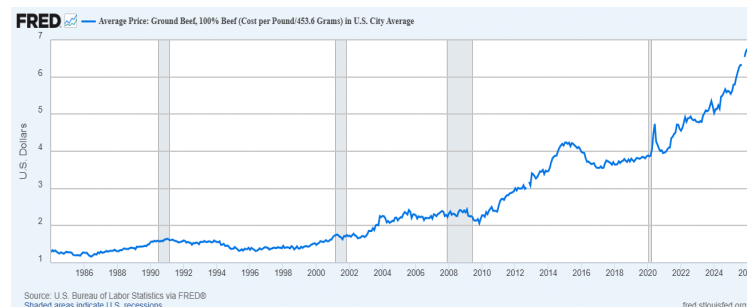
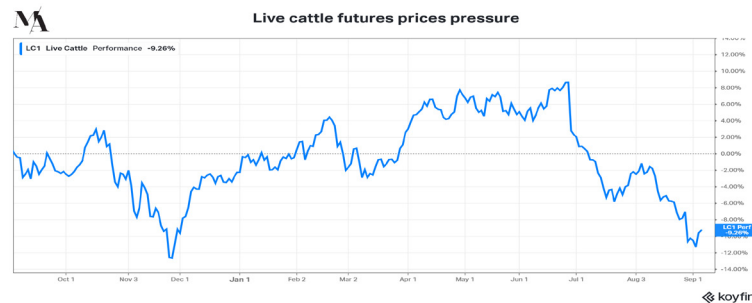


Chart Source(s): Goldman Sachs

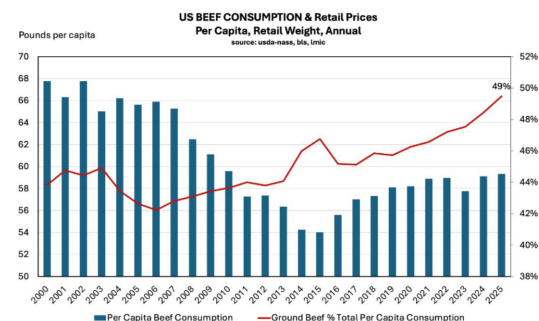
- Early August felt like a reprieve from July's turbulence following the Situational Awareness takedown, yet the latter half of the month turned sharply, wiping out P&L for many hedge funds.
- The GS Fundamental Equity Long/Short index was up around 2% mid-month to finish flat.
- Put simply, seasonality met a market in transition. Rate worries, geopolitical flare-ups, pre-election de-risking, hyperscaler capital demands, and evolving AI dynamics combined to cloud the medium-term outlook.
- While equity indices faced modest selling pressure, elevated volatility at the individual equity level was hard for long/short books to navigate.
- Severe earnings driven price moves combined with factor rotations create challenges in many fundamental manager's long and short books.

Market Spotlight: Cattle price dynamics

- Fundamental commodity specialists always say that the cure for lower prices is lower prices. This is because as a commodity price falls, the producer has less incentive to increase marginal supply and thereby supply scarcity spurs a recovery in the price. This is why sadly, most market interventionist initiatives by governments usually come with unintended consequences. Take the case in point, the US domestic cattle market where supply destruction and demand destruction are dually at play.
- There are some interesting dynamics at play in the US cattle market. High prices at supermarket checkout is strangely not reflected in live cattle futures prices.
- The dynamic exists because Trump tariff waivers enabled imported beef to flood the market. The initiative is worrying ranchers because they argue that artificially suppressing domestic cattle prices removes incentives to rebuild the US cow herd.
- However, over the near term, high retail costs leading to demand destruction combined with a flood of imports can continue sending futures lower.



Secular ground beef downshift



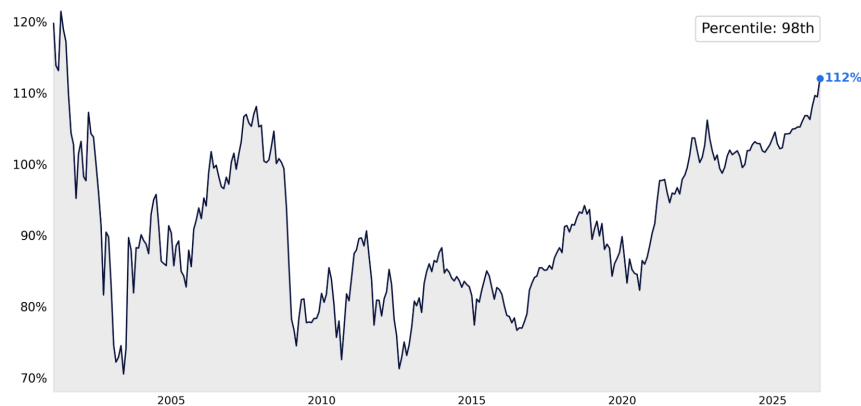
Market Spotlight: US pension funding

- As markets currently seem far more driven by technical than the highly murky fundamental micro and macro cross currents, taking a look at a major capital markets holder, the US public pensions, can provide some insights.
- Presently, the top 100 US pension plans are roughly 112% funded, their highest level since 2001.
- Strong funding continues to encourage plans to de-risk, by shifting from equities into long-duration bonds and matching asset duration to liability duration, raising the odds of mechanical equity selling and fixed-income buying into quarter-end.
- Macro hedge funds seek to model some of these relatively predictable rebalancing flows into quarter-end. US pension's strong balance sheet is more emblematic of the greater investing public's PNL over post 2009 GFC time periods, leaving all investors in the same predicament whether to cash the winning global equity exposure chips in, or let them ride. One can argue that bonds are no longer the direct recipient of these flows with investors seeking diversification in other asset classes.

US pensions in great shape

Pension Funding – Highest Since 2001

Milliman 100 Pension Funding, 25-Year Lookback

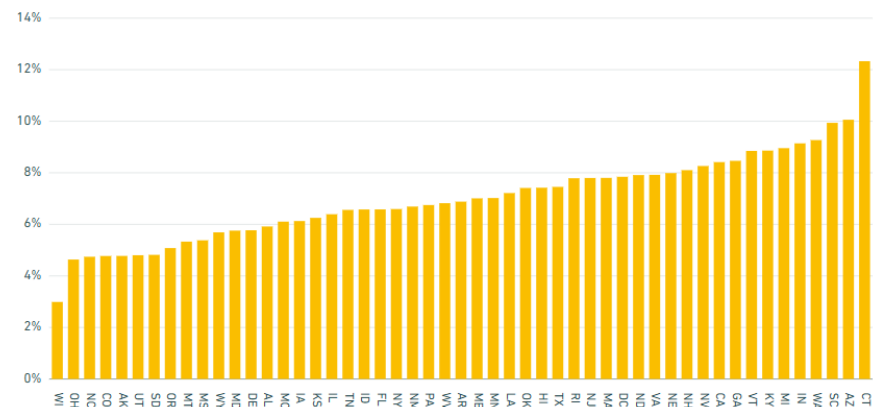


Source: Bloomberg as compiled by Citadel Securities, Global Market Intelligence, as of August 28, 2026. Figures are for illustrative purposes only. Past performance figures do not guarantee future results.

Some big recent returns out of the leaders

Some states have navigated the financial market volatility of the post-pandemic years better than others

Average Annualized Return on Assets by State, 2020–2026



Source: Equable Institute analysis of public plan valuation reports and ACFRs. See methodology appendix for details on 2026 estimate. [Download the data here.](#)

Market Spotlight: All one trade

- There are some strange market factors at work, especially the predominance of the “oil-factor” impacting daily pricing across a variety of global assets.
- Where this influence seems to be the most at play is in DM macro instruments, especially in US fixed income markets.
- The US 10-year correlation to oil has reached multi-year highs.
- This tight connection between a common driving factor, currently oil, truncates the ability for macro managers to create a diversified portfolio based upon micro bottom up fundamental drivers.

Just trade oil

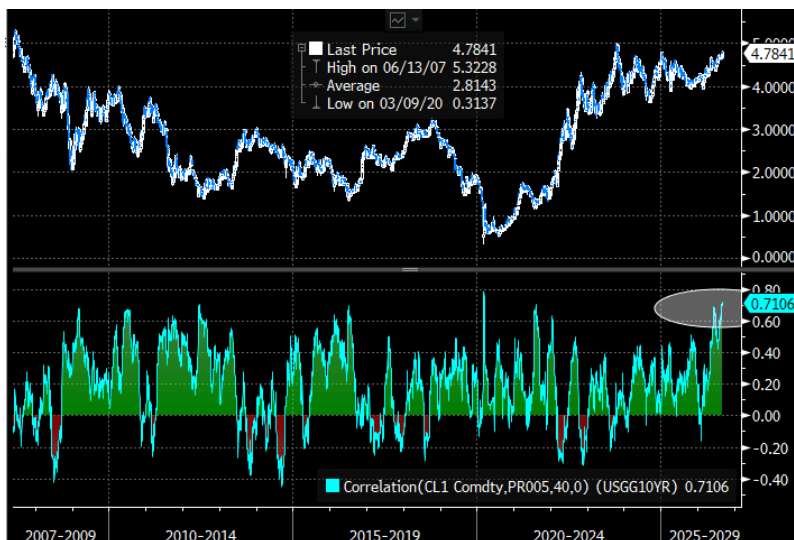


Chart Source: Bloomberg

Bond moves YTD still not big enough to drive macro PNL

Bond Drawdowns Are Far Smaller Than in 2022

Maximum calendar-year drawdowns (%)

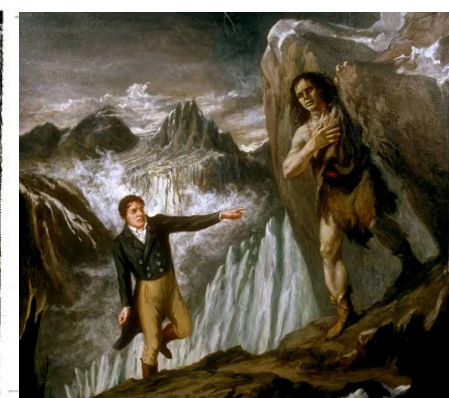
	Government bonds	Government bonds over 10 years
2020	-8.5	-13.6
2021	-7.6	-10.2
2022	-23.3	-35.1
2023	-9.2	-16.2
2024	-6.4	-9.9
2025	-2.3	-4.4
2026	-4.2	-7.8

Note: 2026 through latest available data
Source: Bloomberg

Mary Shelley's *Frankenstein*: A Visionary Warning That Still Rings True

- **Young genius at work:** At just 18 years old in 1816, Mary Shelley conceived one of literature's most enduring cautionary tales during a summer at Lake Geneva, challenging the male-dominated literary world of her era.
- **The creative spark:** Trapped indoors by volcanic ash darkening European skies, Shelley joined Lord Byron and Percy Shelley in a ghost-story competition. A vivid nightmare of a "pale student of unhallowed arts" creating life—inspired by contemporary galvanism experiments—birthed her masterpiece.
- **Timeless core message:** *Frankenstein* asks a question that haunts us still: Just because we *can* create something, should we? Victor's abandonment of his creation mirrors our modern dilemma with artificial intelligence.
- **Why it resonates today:** The novel warns against unchecked ambition, creator responsibility, and the dangers of deploying powerful technologies without ethics or safeguards. The creature's rejection and isolation echo today's marginalization and radicalization.
- **A woman's wisdom prevails:** Shelley's revolutionary insight—that responsibility toward creation matters more than achievement itself—remains profoundly relevant as we grapple with AI, genetic engineering, and biotechnology.

Her teenage imagination captured truths we're still learning.





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Masterpiece Advisors
1345 Avenue of the Americas
New York, NY 10105
Ph: 646-992-4319